POH/TOH Split-Valuation Worksheet

Property: _____

Date: _____

Part D: Prove the numbers.

Takes in: verified rent and the home inventory

Hands to: AS-07, AS-14

Built for MHC homes. For RV park-owned rentals, use its sibling: Park-Owned Rental Valuation (AS-09R).

A park with park-owned homes is two businesses on one parcel: land lease and home rental. Different risk, different value, different exit. The lot is the asset. The home is a depreciating box, or the tenant's. Sellers bundle them because bundling hides that the dirt's value does not need the boxes.

Lot rent belongs to the dirt. Home rent belongs to the homes. No dollar in both.

The home ledger: one row per park-owned home

Lot	Year	HUD?	Grade	Title?	Lien?	Rent $/mo	Occ?	Repairs $	Value $ lo-hi

Grade: 1 needs work, 2 serviceable, 3 good. HUD: label present Y or N. Pre-1976 (pre-HUD Code) homes affect insurability and financing. Title in the seller's name, Y or N. Any lien, Y or N.

Front page 1: the ledger. Front page 2: the two valuation views, the POH policy, and the TOH exposure log.

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View 1: in-place income value

Annual home rent ($): _____ **Less home expenses: repairs, turnover, insurance ($):** ____

Less vacancy ($): _____ **Net home income ($):** _____

Income value = net home income / home cap rate. Homes are riskier than dirt: use a higher rate (rule of thumb, verify locally).

View 2: liquidation value

As-is market value, all homes ($): _____ **Less deferred repairs ($):** _____

Less cost to move or sell ($): _____ **Liquidation value ($):** _____

For risky homes, pay no more than the lower of the two views: min(income value, liquidation value).

The POH policy: decide before the walk

- ☐ Buy none: the seller keeps the homes or sells them off before close.
- ☐ Buy some: only clean-titled, grade 2 or better homes.
- ☐ Hold a clean-out option: price the homes at liquidation and plan the exit.

Price allocation between real property, homes, and equipment goes to your CPA.

TOH exposure log

Item	This park
Tenant-owned home count	
TOH lot-rent delinquency ($)	
Abandoned TOH, title unknown	
Est. cost to clear each ($)	
Legal path to clear	

Abandoned-home title, resident purchase rights, and sale-notice laws vary by state, confirm with your attorney.

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Worked example: Maple Bend Estates (fictional)

Fictional. First, the ledger note only this worksheet states: the 9 park-owned homes' rent (8 x 300 x 12 = $28,800 a year) and expenses ($9,600 a year) sit outside the $189,000 of lot-rent deposits, the $71,000 and $112,530 of expenses, and the $955,875 walk price. Bank deposits of $189,000 are lot-rent deposits. Home-rent deposits are traced separately.

Step 1, isolate the lot rent. Total monthly rent collected: 15,750 + 2,400 = $18,150. Less the home-rent portion: $2,400. True lot rent: $15,750 a month. Annualized: 15,750 x 12 = $189,000, which ties to the ledger.

Step 2, value the dirt. Dirt NOI is the normalized NOI, $76,470. It is already lot-rent economics, so nothing is subtracted. At an 8% cap: 76,470 / 0.08 = $955,875. This is the Pact price for the park.

Step 3, value the homes. 9 park-owned homes: 8 occupied, 1 vacant. Home rent: 8 x 300 x 12 = $28,800. Less home expenses: $9,600. Vacancy: $0 additional, because the 1 vacant home is already excluded from the rent; do not stack a vacancy haircut on rent that already shows the vacancy. Net home income: 28,800 - 9,600 = $19,200. Income value at a 12% home cap (rule of thumb, verify locally): 19,200 / 0.12 = $160,000. Liquidation: as-is $120,000, less repairs $14,000, less removal $6,000: 120,000 - 14,000 - 6,000 = $100,000. Pay the lower: $100,000, and only after title clears.

Step 4, honest total. 955,875 + 100,000 = $1,055,875. The ask is 1,650,000 - 1,055,875 = $594,125 over. That is 594,125 / 1,055,875 = 56.3% over the honest total.

The double-count: if the ask folded home rent into the NOI and priced the homes again on top, at 8% the $19,200 of net home income is 19,200 / 0.08 = $240,000 of price, plus $100,000 for the homes on top.

Offer stack: the park at the $925,000 target (AS-07), the homes up to $100,000 as a separate line only if titles clear. If the buyer takes none of the homes, the offer stays $925,000.

TOH exposure: 32 tenant-owned homes, delinquency $2,400, 1 abandoned with unknown title, est. $4,500 to clear. Legal path varies by state, confirm with your attorney.

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The Doctrine

The belief this shatters: the homes in a park are part of the park. The lot is the asset. The home is either the tenant's or a separate depreciating business with its own income, its own expenses, and its own exit. Sellers bundle them because bundling hides that the dirt's value does not need the boxes. The rule: split the income, value each business on its own terms, and for risky homes pay no more than the lower of income value and liquidation value. Write your policy before the walk: I do not own homes, or I own homes only if X. Then hold it when the seller throws the homes in free.

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